

New York, Chicago, and St. Louis Railroad Company has been faced with a continuous financial problem growing out of the sale of a three-year note issue in 1929. Since the first maturity in 1932 it was repeatedly extended under threat of receivership as an alternative. Typical of speculative disregard of financial problems was the advance of this company's preferred stock from $18\frac{1}{2}$ to $45\frac{3}{4}$ in 1939, against a low price that year of only 50 for the notes due in 1941.

Even when the maturing debt can probably be taken care of in some way, the possible cost of the refinancing must be taken into account.

Examples: This point is well illustrated by the \$14,000,000 issue of American Rolling Mill Company $4\frac{1}{2}\%$ Notes, due November 1, 1933. In June 1933 the notes were selling at 80, which meant an annual yield basis of about 75%. At the same time the common stock had advanced from 3 to 24 and then represented a total valuation for the common stock of over \$40,000,000. Speculators buying the stock because of improvement in the steel industry failed to consider the fact that, in order to refund the notes in the poor market than existing for new capital issues, a very attractive conversion privilege would have to be offered. This would necessarily react against the profit possibilities of the common stock. As it happened, a new 5% note issue, convertible into stock at 25, was offered in exchange for the $4\frac{1}{2}\%$ notes. The result was the establishment of a price of 101 for the notes in August 1933 against a coincident price of 21 for the common stock; and a price of 15 for the stock on November 1, 1933, when the notes were taken care of at par.

The impending maturity of a bond issue is of importance to the holders of all the company's securities, including mortgage debt ranking ahead of the maturing issue. For even the prior bonds will in all likelihood be seriously affected if the company is unable to take care of the junior issue. This point is illustrated in striking fashion by the Fisk Rubber Company First Mortgage 8s, due 1941. Although they were deemed to be superior in their position to the $5\frac{1}{2}\%$ unsecured notes, their holders suffered grievously from the receivership occasioned by the maturity of the $5\frac{1}{2}$ s. The price of the 8s declined from 115 in 1929 to 16 in 1932.⁵

Bank Loans of Intermediate Maturity. The combination of very low interest rates and the drying up of ordinary commercial bank loans has produced a

⁵ See other references to the two Fisk bond issues in Chaps. 6, 18, and 50.